8.1 INTRODUCTION

The economic systems world over have been deregulated and controls that existed in the past have been relaxed in great measure. At the same time, governments have been attempting to open more economic activity to private players– both domestic as well as foreign. Liberalisation, Privatisation and Globalisation (LPG) forms part of a wider reform process, as discussed in the previous unit. The narrative of “Rising India” over the past quarter century describes India’s economic rise and, as a consequence of that rise, India’s globalisation and integration with rest of the world. Further, there is a growing recognition that India was liberating itself from the historical past.

The turn of the century was when a new narrative about independent India began to take root internationally. India had not only come out of a serious economic crisis in 1991-92, but had landed on its feet. Trade liberalisation, industrial delicensing and decontrol and fiscal stabilisation contributed to an increase in the share of foreign trade and manufacturing output in national income, contributing also to improved prospects for growth. Investors’ confidence in the economy got a boost, resulting in a build-up of its growth potential. New firms began to come up and so did new industries. However, the slowing down of the economy in the second decade of this millennium be it due to cyclical or structural factors, has raised questions about India’s growth potential and the government’s management of the economy. A new narrative can only be built on the foundations of improved economic performance. A return to the earlier growth path is predicated upon altering recent perceptions about India’s economic prospects and policies, the political choices made and geopolitical options explored.

The most contentious of all economic reform measures since 1991, is disinvestment. Disinvestment and privatisation have been two policies common to all Central Governments since 1991. The economic reforms initiated in the country provide the policy environment towards public private partnership (PPP) in infrastructure development. Insolvency is a complex subject. Bankruptcy laws accept that business ventures can fail and allow entrepreneurs to get a fresh start. The passage of the Insolvency and Bankruptcy Code in May 2016 was a key reform which is set to alter the relationship between debtors and creditors. Given this backdrop and the more general narrative on India’s economic reforms since 1991 discussed earlier, this unit will discuss various facets of three ongoing debates having repercussion on the performance of Indian economy and these are:

i) Privatisation and restructuring of public sector,

ii) Public private partnership, and

iii) Insolvency and bankruptcy code (IBC).

8.2 PRIVATISATION AND RESTRUCTURING OF PUBLIC SECTOR

Privatisation describes a direction of change or a fundamental reordering of claims in a society. Its meaning depends on the point of departure– the public-private balance previously forged in a particular domain. The term ‘privatisation’ connotes a wide range of ideas. In its narrow sense it is the process of transferring ownership of a business, enterprise, agency, public service or public property from the public sector (i.e., government) to the private sector. In the wider sense it means government outsourcing of services or functions to private firms. According to V.V. Ramanadham (1989) privatisation is a term that is employed to convey a variety of ideas. The idea that it most prominently suggests is that of 'denationalisation' (in the sense of transferring the ownership of a public enterprise to private hands).

Another idea in vogue is 'liberalisation and deregulation' unleashing forces of competition[1]. The concept of privatisation is, in fact, to be understood, not merely in the structural sense of who owns an enterprise, but in the substantive sense of how far the operations of an enterprise are brought within the discipline of market forces.

8.3 DIFFERENCE BETWEEN DISINVESTMENT AND PRIVATISATION

Though privatisation and disinvestment are terms that are used interchangeably, there is a difference between them with regard to the ownership. Disinvestment may or may not be an outcome of privatisation. When it comes to defining the term, privatisation involves transforming the ownership of a public sector business to the private sector known as a "strategic buyer". In privatisation, full ownership is transferred to the strategic partner. In a broader sense, privatisation refers to transfer of any government function to the private sector including governmental functions like revenue collection and law enforcement.

In disinvestment, the same transformation process happens while retaining 26 per cent or in some cases 51 per cent of share right (i.e. the voting power) with the public sector organisation. Here, the ownership is not transferred to strategic buyer. Divestment is said as the opposite of Investment. Investment means acquisition of certain assets; divestment means the release of assets. A business may be that a particular arm of it is not compatible with its core business and hence may decide to shelve or divest this business. Divestment may be done for various economic or social reasons.

8.3.1 Forms of Privatisation

Various forms of privatisation vary in the extent to which they move ownership, finance, and accountability out of the public sector. The spectrum of alternatives runs from total privatisation (as in government disengagement from some policy domain) to partial privatisation (as in contracting-out or vouchers). Thus, privatisation may include policies anywhere along this spectrum; however, the implications of privatisation vary with its degree. According to Ramanadhan (1989) privatisation cover three sets of approaches like ownership, organisational, and operational measures. It is important to remember that all these measures more often are equated with transfer of ownership and transfer of managerial and operational control to private hands.

[1] Competition plays a key role in ensuring productive, efficient, innovative and responsive markets. It ensures availability of 'goods' and 'services' of acceptable quality at affordable price to the consumers. Competition law, also referred to as anti-trust law, aims at promoting or maintaining market competition by regulating anti-competitive conduct. The first Indian competition law was the Monopolies and Restrictive Trade Practices (MRTP) Act, enacted in 1969 to encourage fair play and fair deal in the market besides promoting healthy competition. In line with the international trend and to cope with changing realities introduced by the reforms of 1990s, India reviewed the MRTP Act, 1969, and enacted the Competition Act, 2002.

8.4 NEED FOR PRIVATISATION

The industrial policy of July 1991 is considered as a precursor of economic reforms which brought a change in the approach towards Public Sector Undertakings (PSUs). In the affairs of the public sector, it has been a game of politics throughout, and still is, despite the talk of structural adjustments and economic reforms. Some of the important factors leading to the need for privatisation are as under:

i) PSUs in India have no autonomy. As a result, a culture has developed that their major clientele are not the customers who pay for their services, but the ministers and officials of their controlling ministries.

ii) PSUs have many objectives imposed on them, some of which affect their efficiency and profitability. In fact, PSUs suffer from multiple principals and multiple objectives. As a rule, interventions through PSUs are both inefficient and costly. India needs privatisation to improve efficiency and to liquidate recurring liabilities for the government.

iii) Ownership should not matter to performance. That it does in India is a reflection on the poor understanding of business by the bureaucracy. It also indicates their lack of accountability. Poor performance only impacts on government budgets, not on individual officials.

iv) It is important to note that there are limitations being government as owner. Rao (1998) has emphasised that "the enterprise comes under a Ministry of Government, and is subject to scrutiny by Parliament. The Government of the party in power exercises ownership through the Minister while the permanent civil service translates the will of the Government through the management of the enterprises. But the Minister and civil servant are temporary occupants of the owner's chairs because of frequent changes in their portfolios. There are controls exercised on the enterprise at all levels."

v) "Public sector managers, who perform better in the liberated circumstances of private sector enterprises, have been known to complain that they are crippled by various regulations in a public sector entity. Unless a radical transformation is made to liberate the public sector manager from multiple scrutiny by organs of investigation and vigilance, a level playing field cannot be established between the public sector and the private sector" (Venkitaramanan, 2005).

Privatisation per se does not lead to efficiency. Decontrol is probably a more important principle than privatisation; and many of the supposed positive attributes of privatisation can be imparted to public enterprises. In India, wholesale transfer of assets to private sector both on grounds of efficiency and equity is not easily acceptable. On the other hand, organisational efficiency requires a different approach. The framework of principal-agent relationship in private ownership has an advantage over public ownership. In the sense that both the principal and the agent have stakes in the efficient functioning of the enterprise and there is unanimity on the objective function to be maximised.